

alo Digital, says maintaining regulatory compliance in the ever-evolving financial landscape is vital. “By proactively strategising and adapting to regulatory shifts, NBFCs (non-banking finance companies) can establish a resilient framework to ensure adherence to evolving standards,” says Agarwal. The immediate upshot seems to be that Sharma’s ambitions of running a full-fledged bank have been stalled.

Will RBI step in to supersede the board after February 29? The Paytm management, led by Sharma, maintains that there is a clear separation between OCL and PPBL, with both

gotiate favourable terms with other banks when it begins shifting PPBL’s customers. Madhur Deora, OCL’s CFO and Additional Whole-time Director, expressed confidence recently, stating, “Over time, we will be able to significantly offset this impact.”

Will investors buy this? OCL’s stock price is already on a downward trend. It has plunged 41% since RBI’s action. The stock, which is trading around ₹428 apiece on February 12 with a market valuation of around ₹27,000 crore, experienced a turbulent beginning after its IPO, in which shares were priced in the ₹2,080-2,150 range.

offline merchants. Operationally, the arrangement for sharing incentives in person-to-merchant (P2M) transactions will now have to be renegotiated with new banks. “As a payments aggregator for online and offline merchants, OCL has been collaborating with various banks over the past two years, with PPBL being one of the primary partners,” says Paytm. The challenge now is transitioning existing merchants, especially offline vendors, from PPBL to another bank.

Paytm President and COO Gupta said recently that discussions would also be held with the regulators and

WHAT IT CAN DO

1 Paytm will have to expand third-party partnerships with banks for FASTag, UPI, and other services

2 It must innovate new payments products in collaboration with new banking partners

3 Besides, it will have to shift merchant loan repayments from Paytm Payments Bank accounts to other banks

4 It will also have to transfer the nodal accounts of the Paytm parent company to other banks

entities operating independently to comply with banking governance standards. The bank earned revenues of ₹3,285 crore and profits of ₹15 crore in FY23. It has total assets of ₹9,843 crore and deposits of ₹3,285 crore.

But it’s worth noting that Sharma serves as the part-time Chairman of PPBL, while Bhavesh Gupta, the current President and COO of Paytm, holds the position of Director on the bank’s board. Similarly, Srinivas Yanamandra, Group Head of Regulatory Affairs & Policy at the parent company, also serves as a Director at the bank. Two independent directors have already jumped ship.

OCL, the holding company, is already facing a margin hit of ₹300-500 crore on its annual Ebitda. The company will find it challenging to ne-

Sharma will be concerned about institutional investors. While domestic institutions, especially mutual funds, hold around 5%, foreign institutions own a large chunk, at 45%. “Some could exit as the future looks bleak. There is also the possibility of a merger with a bank or NBFC,” says a market insider. The market was abuzz with rumours of Jio Financial acquiring Paytm’s wallet business. But both OCL and Jio Financial have denied this.

OCL is now preparing for a future beyond PPBL. It has set up a three-member advisory committee headed by former Sebi chairman M. Damodaran to strengthen corporate governance.

OCL, the payments aggregator, could acquire both online and

the National Payments Corporation of India. Sharma told investors that the company is actively reducing its reliance on PPBL, though significant dependence exists. “It’s important to highlight that these relationships are primarily payments-related, implying that all banks possess the necessary technology and capabilities,” he explained. In addition, OCL is transferring nodal accounts—special purpose accounts created for receiving money from banks—to other large commercial banks. These are highly lucrative due to the substantial funds passing through them.

Sharma and his team are racing against the clock. They need to move fast to address RBI’s concerns. **BT**

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